FINANCE Management's Discussion and Analysis (MD&A)

Quarterly Financial Condition & Operating Results

Aegis Point Logistics Inc. • Q3 Ended September 30, 2024

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

For the Third Quarter Ended September 30, 2024, Aegis Point Logistics Inc. reported consolidated net revenues of $418.6 million, an increase of 6.4% compared to $393.4 million in the prior-year period. Revenue growth was primarily driven by higher yield management in dedicated contract carriage and a 3.8% increase in total billable ton-miles across our intermodal network. Operating income rose to $48.2 million from $42.1 million in Q3 2023, resulting in an operating margin expansion of 80 basis points to 11.5%.

Salaries, wages, and employee benefits totaled $174.3 million, up 4.1% year-over-year, reflecting general wage adjustments offset by labor efficiency initiatives at our regional transshipment hubs. Purchased transportation costs increased 5.2% to $121.8 million, influenced by diesel fuel price fluctuations and capacity adjustments on spot dry-van routes. Operating supplies and fuel surcharge revenue contributed a net positive spread of $6.3 million.

Net cash provided by operating activities for the nine months ended September 30 was $112.4 million, compared to $98.6 million for the same period in 2023. Capital expenditures for property, plant, and equipment were $34.1 million, primarily directed toward fleet modernization and terminal yard automation. As of September 30, total liquidity stood at $185.0 million, consisting of $45.0 million in cash and cash equivalents and $140.0 million in undrawn capacity under our senior secured revolving credit facility. Long-term debt stood at $285.0 million, with a net debt-to-Adjusted EBITDA ratio of 1.62x, well within our targeted leverage covenant ceiling of 3.00x.